

International trade

COMMUNICATION

LEVEL
Upper-intermediate

NUMBER
EN_BE_3704X

LANGUAGE
English

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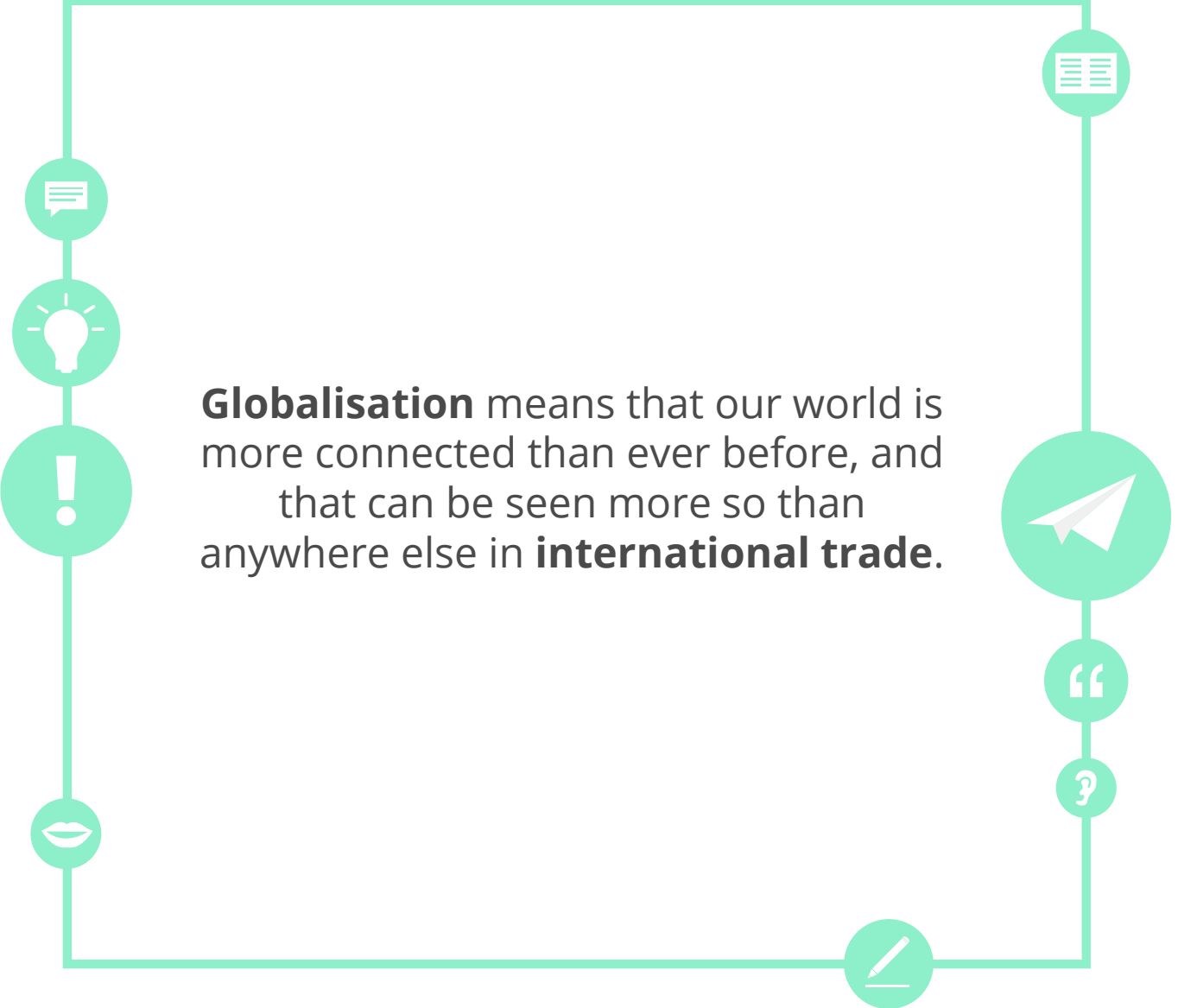




Goals

- Can understand key terminology and loan words related to international trade
- Can use new vocabulary to describe aspects of trading





Globalisation means that our world is more connected than ever before, and that can be seen more so than anywhere else in **international trade**.



International trade

Do you know who your country does the most trade with? Do you know if you have more imports or exports?





Exports

Do you know what these countries are big producers and exporters of?

fruit & veg



Spain



Germany

cars

mechanical
equip,
machines

meat
oil



Brazil



China

tech

Loan words

English contains many **foreign words**, or **loan words**, which are used in day-to-day speech, particularly in business and economics. The two examples below are from **Latin**.



This country invests more in healthcare **per capita** than any other.
x person



He doesn't like change – he just wants to maintain the **status quo**.



Loan words

embargo

ban - not allowed

There is an **embargo** on the purchase of diamonds from the region.

tycoon

He owns lots of different businesses and is very successful – a real **tycoon**.

bonanza

many

The agreement brought a jobs **bonanza** to the city.

mogul

important

Rupert Murdoch is a media **mogul**.

cargo

big container

The plane was carrying a **cargo** of bananas.

gambit

chess

Her opening **gambit** to offer low prices initially gave her an advantage.



Loan words

**Do you know which
language these
words came from
originally?**

embargo

tycoon

bonanza

mogul

cargo



Matching

Match the loan words with their meanings below.

1 embargo

2 a clever opening play

3 the present situation

4 tycoon

6 per head

4 a successful business person

5 bonanza

1 an official order to stop trading certain goods

2 gambit

5 a situation in which large profits or gains are made

3 the status quo

6 per capita



Fill in the gaps

Fill in the gaps with a loan word from the previous pages.



Did you hear the government has placed a trade embargo on North Korea?

No! That's interesting. I thought they were more interested in maintaining the status quo - not wanting to rock the boat.



A tanker with a cargo of petroleum was stopped from leaving yesterday.

Well, they've just got into power so maybe it's an opening gambit to show their strength.





Answer the questions

Answer these questions with your teacher.



Elon Musk

1

Who is a famous tycoon in your country?

2

Do you know of any trade embargoes in effect at the moment?

3

Do you know the per capita income of your country?

International trade

International trade is the **import** and **export** of goods across international boundaries.



International trade encompasses almost all world goods.

deficit

A **deficit** is the amount by which the money **spent** by a company is **more than** it **receives**. A **trade deficit** refers to when a country **imports more goods than it exports**.



The company has a **deficit** of over \$10 million dollars. It is unsustainable.

revenue, expenses and profit

Revenue is the amount of money a company makes before deducting **expenses**. The money left over is called **profit**.



The company generated a **revenue** of \$10 million dollars. It made a **profit** of \$5 million dollars. How much did the company spend in expenses?

shortage

surplus

A **shortage** occurs when you do not have enough of something to fulfil the demand. A **surplus** is when you have more of something than is needed.



The corn harvest was so good this year that we are going to have a **surplus**.



The country is facing a **shortage** of skilled workers.

asset

commodity

An **asset** is anything which is owned by a person or company. A **commodity** is a substance that can be traded in large quantities.



The company has **assets** of over \$23 million.



Saudi Arabia's largest **commodity** is oil.



The World Trade Organisation

Read through the text about the World Trade Organisation, and be prepared to answer questions on it over the next pages.

The World Trade Organisation (WTO) is an inter governmental organisation dealing with the rules of **global trade** between nations. WTO agreements are signed by most of the world's trading nations. The goal of the WTO is to make sure that trade is as **free** as possible, as well as ensuring smooth trade between nations. The WTO deals not only with the **import** and **export** of physical goods, but also with intellectual property. One of the goals of the WTO is to help developing nations **expand** their **trading capacity**; it also strives to ensure that trade is **competitive** between trading partners and trading nations. The WTO has helped to expand **free trade** and has bolstered the **global economy**.





Are these definitions correct?

	CORRECT	INCORRECT
1. Imports are goods brought into your country.	☐	☐
2. Expand means to contract or make smaller.	☐	☐
3. If trade is competitive it means lower prices for consumers.	☐	☐
4. A surplus is when we do not have enough of something.	☐	☐
5. Trading capacity is how much a country can, or does, trade.	☐	☐
6. An asset is something we can trade in large quantities.	☐	☐



Complete the sentences

Complete the definitions below.

1. A deficit is...
2. A shortage is...
3. A commodity is...
4. An export is...
5. Global trade means...



Surpluses and shortages

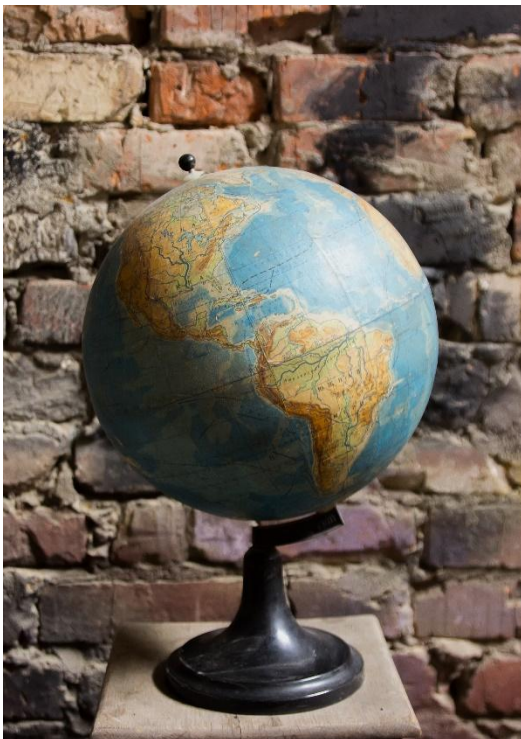
Does your country ever experience a **shortage** of anything? How about a **surplus**? What should companies or governments do in this situation?





The WTO

Some organisations, such as Greenpeace, are critical of the WTO, maintaining that despite its claims that it helps developing nations, it is rather a tool of the world's richest nations. Look at the ideas below and discuss this problem.



Corporations
driven by profit

Little focus on
the environment
and social
problems

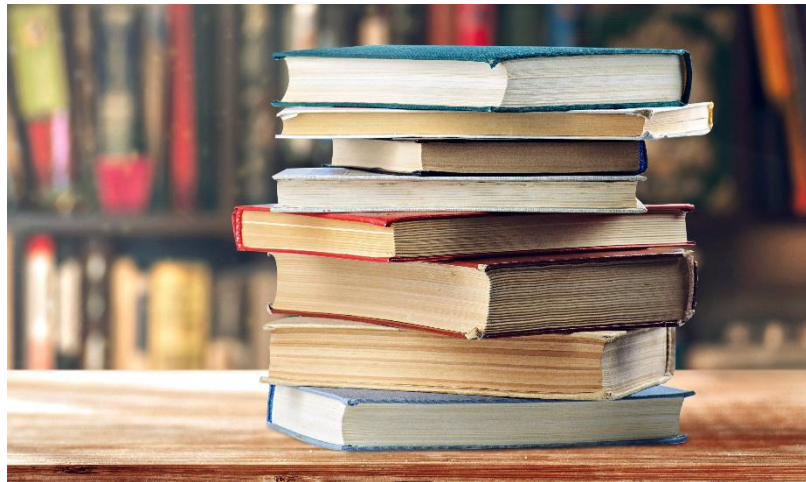
Decisions made
by wealthy
nations

Less wealthy
nations not
invited to
meetings



Your company

You are the owner of an **online book shop**. Over the next few pages you are going to see your **profit and loss accounts**, plus how much **stock** you have in your shop.



We have a **surplus** of history textbooks.



Your accounts

Below are your **revenue and expenses accounts**, overall and then divided into fiction and non-fiction.

	Revenue (previous quarter)	£57,000
	Expenses (previous quarter)	£32,000
Fiction books	Revenue (previous quarter)	£23,000
	Expenses (previous quarter)	£2,000
Non-Fiction books	Revenue (previous quarter)	£34,000
	Expenses (previous quarter)	£30,000



Answer the questions

Answer these questions about your accounts on the previous page.



1

Are you in deficit?

2

Where do you make the most profit?

3

Where are you making the largest losses?



Your stock

Below is a chart to show what you have **in stock** and how much you normally sell during a quarter.

Type	Stock	Normal sales
Children's fiction	2,400	2,300
Adult fiction	3,700	3,900
Travel guides	400	350
Textbooks	940	330
Biographies	150	350



What should you purchase?

Based on your accounts, what do you think you should stock up on, and what should you not buy?

We should hold off on buying...

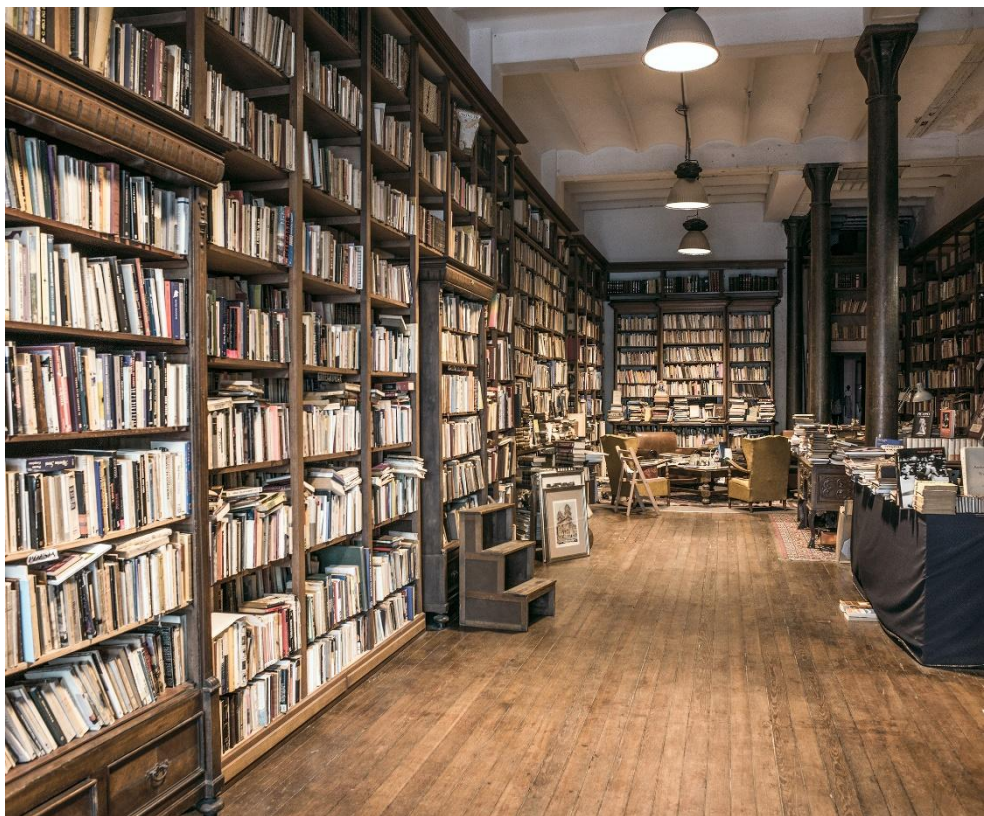
We could purchase... on credit.

There's no need to buy...



Answer the questions

Answer the questions below with your teacher.



What do you think about buying things on credit?

Do you think a company should always have everything in stock?



Reflect on the lesson

Take a moment to review any new **vocabulary, phrases, language structures** or **grammar points** you have come across for the first time in this lesson.

Review them with your teacher one more time to make sure you don't forget!





Answer key

Exercise p. 5: Spain: cars, fresh fruit and vegetables; Germany: cars, Brazil: soybeans and iron ore; China: clothes and electronics

Exercise p. 9

embargo: an official order to stop trading certain goods

bonanza: a situation in which large profits or gains are made

gambit: a clever opening play

status quo: the present situation

tycoon: a successful business person

per capita: per head

Exercise p. 10

embargo, status quo, cargo, gambit

Exercise p. 18

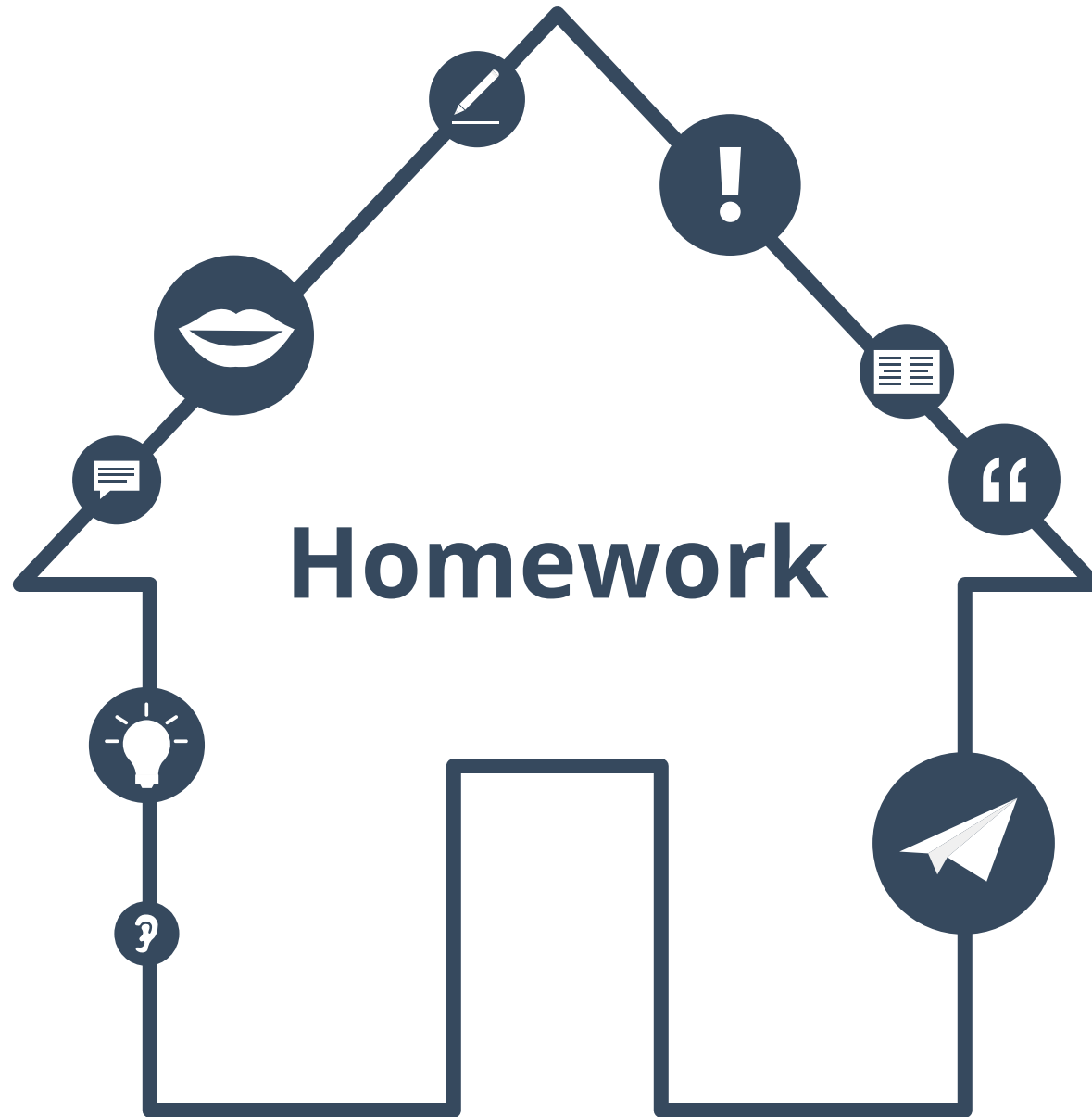
1. C, 2. I, 3. C, 4. I, 5. C, 6. I

Exercise p. 24

1. No. 2. I make the most profit from fiction books. 3. I make the least profit from non-fiction books.

Exercise p. 26

1. I should hold off on buying adult fiction. 2. I could purchase travel guides and biographies on credit. 3. There's no need to buy children's fiction.





New vocabulary

Use this page to record any new vocabulary you came across in this lesson.



A 2x3 grid of colored squares with text labels. The top row contains 'global trade' (blue), 'competition' (orange), and 'import/export' (blue). The middle row contains 'import/export' (orange), 'expand' (blue), and 'trading partner' (orange). The bottom row contains 'trading partner' (blue), 'developing nations' (orange), and 'developing nations' (blue). The colors alternate in a checkerboard pattern.

global trade	competition	import/export
import/export	expand	trading partner
trading partner	developing nations	developing nations

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